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THE JOURNEY TOWARDS FINANCIAL FREEDOM



SAVINGS TO WEALTH CREATION WITH MUTUAL FUNDS

Investing puts your savings to work so they grow over time, and mutual funds can help turn those savings into wealth.

A reason anyone considers investing is to help transform their savings into a potential corpus to achieve their financial goals. Yet, investing isn't easy for everyone because it isn't as straightforward as it may seem. The choice of financial instruments, the jargon, time, understanding, and the costs involved in investing are a lot to ask of individuals. The popularity of mutual funds isn't hard to understand. Not only are they easily accessible, but they can also be purchased through various intermediaries and even directly by investors.

One of the most significant advantages of mutual funds is their relative ease of purchase compared to other asset classes, such as bonds or stocks *(See: Pros of investing through mutual funds)*. When it comes to mutual funds, it is like a buffet spread – you can choose from several types to suit your investment palate. Depending on your future financial goal, the risk you are willing to take is among the factors you need to consider when investing in mutual funds. The money you are investing may be required to meet future financial needs.

WEALTH JOURNEY

Your wealth journey will take you from managing your daily expenses to protecting your savings, to investing for growth, and finally to preserving your wealth and building a meaningful legacy. On this journey, you will encounter factors such as market cycles, changes in personal needs, and reforms in regulations *(including personal income tax)* before you can get the most out of your investments. The main goal of investing is to build your savings for your future, but protecting your wealth can be just as important as growing it. With global economic uncertainty, fluctuating interest rate environment and high inflation, there is a lot to consider, no matter which stage you are at in your wealth journey.

Typically, individuals go through a 30-to 40-year employment cycle before retirement. The financial goals commonly pursued in this phase include a vacation, a new car, a first home, retirement, children's education or anything in between. Investing responsibly and smartly can get you there than by saving alone. Investing is a way for anyone, of any background or income, to build wealth over time. You might be surprised at just how easy and convenient it can be when you do so with mutual funds.

Building wealth is a commitment that demands discipline, patience, and a well-thought-out plan. You can start by setting specific and realistic financial goals. Having clear objectives acts as a roadmap. It will help you break your goals into short, medium, and long-term milestones for greater clarity and focus. Next, you need to cultivate good financial habits, such as regularly saving and investing. You can benefit from being consistent by making regular contributions to investment plans, ensuring that you stay on track to achieve your goals.

Setting financial goals gives you a purpose for investing. Having a reason to invest for a given duration helps you to develop a financial plan.

By outlining your current situation and mapping out where you want to be, ideally with a financial adviser if needed, you can develop a clear plan of action to achieve your financial goals.